

PSI Exam Prep: Valuation

STUDY SHEET

8% of your licensing exam questions will relate to valuation.

A. Appraisals

1. Appraisals for Valuation of Real Property

An appraisal is a formal opinion of value that a real estate appraiser assigns, based on supportable evidence, for a specific purpose, party, and property, as of a specific date, and in accordance with Uniform Standards of Professional Appraisal Practice (USPAP).

- Only a licensed or certified appraiser may perform an appraisal - not real estate licensees.
- Appraisers estimate the value of buildings or land and may specialize in commercial or residential property.
- Appraisals are typically performed before a property is sold, mortgaged, or taxed.
- Valuation (formal appraisal) is the process of forming an opinion of a property's value.
- The real estate and mortgage industries rely on appraisals to ensure mortgaged property value supports the loan amount.
- Lenders or appraisal management companies generally select and hire appraisers, but the buyer generally pays.

2. Situations That Require Appraisal by a Licensed or Certified Appraiser, and Brokerage-Related Actions That Constitute Unauthorized Appraisal Practice

Federal Requirements (FIRREA)

The Financial Institutions Reform, Recovery and Enforcement Act (FIRREA) of 1989 requires that appraisals performed in conjunction with federally related transactions must be completed by state-certified or licensed appraisers.

Federally related transactions: Any real estate-related financial transaction in which a federal financial institution's regulatory agency engages in, contracts for, or regulates - and requires the services of an appraiser. Includes FHA, VA, and loans sold on the secondary mortgage market, but is not limited to these.

- FHA loans: must be appraised by a state-licensed appraiser approved by HUD.
- VA loans: must be appraised by a VA-certified, state-licensed appraiser.

Appraiser Independence Requirements (AIR)

Key mortgage industry players - Fannie Mae, Freddie Mac, and the Federal Housing Finance Agency (FHFA) - implemented AIR in 2010. AIR's intent is to ensure appraisals reflect an accurate, unbiased property value.

AIR requires that appraisers be:

- Certified or licensed in the state where the appraised property is located
- Knowledgeable about the local real estate market
- Qualified to appraise the subject property

AIR also:

- Prohibits lenders from attempting to influence or coerce an appraiser regarding opinion of value.
- Permits lenders to select residential appraisers from an approved panel if the lender employee(s) involved in selection have no involvement in loan approval.
- Requires lenders that sell conventional mortgage loans to Fannie Mae to comply with AIR.
- Allows lenders to contract with third-party companies to manage appraisals to help ensure compliance.

Unauthorized Appraisal Practice by Licensees

Real estate licensees are NOT licensed appraisers and must not cross the line into appraisal practice. Actions that may constitute unauthorized appraisal practice include:

- Providing a written formal opinion of value on a specific property that is represented as an appraisal.
- Charging a fee for an opinion of value that is contingent on the outcome (e.g., a stated value).
- Representing a comparative market analysis (CMA) or broker price opinion (BPO) as a licensed appraisal.
- Performing appraisals for federally related transactions (which legally require a licensed/certified appraiser).
- Using the term "appraisal" to describe a CMA or BPO - these are informal estimates, not appraisals.

CMAs and BPOs are permitted activities for licensees when properly represented as informal estimates of value - not appraisals.

3. General Steps in the Appraisal Process

Appraisers follow the USPAP and use these steps:

- State the problem: Identify the specific property, the rights associated with it, the purpose of the appraisal, and what type of value needs to be estimated.
- Identify data needed.
- Gather and analyze data: Appraisers look at general city, neighborhood, demographic, and other data, as well as property-specific data.
- Determine highest and best use: What would the best use of the property be if there were no existing building on it? This matters more for commercial properties, though residential properties in a mixed-use neighborhood can be impacted.
- Estimate the land value (as if the land were vacant).
- Apply one or more of the three approaches to valuation (sales comparison, cost, or income approach), depending on property type.
- Reconcile values to determine the final appraised value: This is NOT an average of estimates. Through reconciliation (correlation), the most weight is given to the most applicable comparable or method.
- Develop and deliver the appraisal report.

Example: In a market data approach, the appraiser may use three comparable properties suggesting values of \$276,000, \$301,000, and \$310,000. The appraiser weighs the comparable most like the subject property more heavily than the others.

B. Estimating Value

1. Economic Principles and Property Characteristics that Affect Value of Real Property

Key Value Definitions

Market value: The most probable price a property will sell for in an open market if neither the buyer nor the seller is under duress.

Value: A property's objective worth; may not equal price or cost.

Cost: The amount to recreate that property if it disappeared today.

Market price: The amount a buyer paid and the seller accepted.

Types of value appraisers may be asked to estimate: market value, insurance value, and replacement value. In real estate, market value is most commonly estimated.

Four Characteristics of Value (DUST)

- Demand: How popular or desirable a property is.
- Utility: The property's function.
- Scarcity: Relates to market supply.
- Transferability: The ease with which another person can purchase the property. A title defect may reduce value due to difficulty transferring title.

Other Types of Value

- Value in use: What a property is worth to the person using it.
- Assessed value: What the local taxing authority thinks a property is worth.
- Mortgage value: Price at which the property can be loaned on or sold at foreclosure.
- Insured value: Cost to replace or rebuild a property.
- Investment value: The return on investment a property may provide.

Economic Principles of Value

Highest and best use: A property's legal and feasible use that would be the most profitable.

Conformity: A property's value is determined in part by how well it conforms to its surrounding area.

Competition: A property's value is determined in part based on what else is available.

Substitution: A reasonable person will not pay more for a property if a comparable one can be had for less.

Contribution: The value of any change to the property depends on the value of the property as a whole. The same improvement may increase value in one home but not another.

Plottage: An increase in value that occurs by combining adjacent parcels of land into a single parcel.

Assemblage: The process of combining the parcels (what creates plottage).

Regression: A decline in property value due to the decline in value of neighboring properties.

Progression: An increase in property value from increased surrounding property values.

Anticipation: Changes in value may be caused by the expectation of future events. Example: a property near a proposed transit station may increase in value before the station is built.

Market Cycles and Factors Affecting Property Value

- Reduced consumer confidence makes buyers wary of purchasing and homeowners hesitant to trade up.
- Higher unemployment reduces the number of buyers, putting downward pressure on housing prices.
- Higher taxes decrease buying power; lower taxes increase buying power.
- Higher interest rates reduce buyer affordability; lower interest rates increase buyer affordability.
- Supply and demand significantly affect value: more demand than supply drives prices up; less demand puts downward pressure on prices.

2. Sales or Market Comparison Approach to Property Valuation and Appropriate Uses

The sales comparison approach is based on the principle of substitution. It uses the prices of similar properties that have sold recently to estimate the subject property's market value. Similar properties are called "comps" or "comparables"; the property being appraised is the "subject property."

- Most commonly used when appraising single-family homes.
- Since no two properties are identical, appraisers adjust comparable sales prices to account for differences in features, location, condition, and timing of sale.
- The fewer adjustments needed, the less subjective the appraisal.

Bracketing: A process where an appraiser uses both superior and inferior units of comparison to determine a probable range of values for a property.

Adjustment rule: Adjust the comparable's price, not the subject's price. If the comparable is superior in a feature, subtract from the comp's price; if inferior, add to the comp's price.

Appraisers apply elements of comparison in this specific order:

- Financing terms and cash equivalency
- Conditions of sale
- Market conditions at the time of contract and closing
- Location
- Physical characteristics

Example: A house sold for \$300,000, but the seller paid \$12,000 toward buyers' closing costs. The cash equivalency is \$288,000.

3. Cost Approach to Property Valuation and Appropriate Uses

The cost approach is based on the concept that the entire property is worth the sum of the value of the land plus the value of the improvements. Formula: Land Value (as if vacant) + Depreciated Cost of Improvements = Market Value.

Best used when the property is:

- Unique and not used to generate rental income (e.g., movie theater, hospital, church, school).
- Newly constructed or a unique high-value home.

Replacement vs. Reproduction Cost

Replacement cost approach: Bases value on the cost to build a functionally equivalent property using modern materials.

Reproduction cost approach: Determines the cost to build an exact replica of the property with the same materials and deficiencies.

Depreciation

Depreciation, as it relates to appraisals, is unrelated to tax depreciation. There are three causes:

Physical deterioration: Wear and tear, damage, and improper maintenance.

Functional obsolescence: Loss in value caused by defects in design - outdated structures or systems, or a property overbuilt for the area.

External (economic) obsolescence: Caused by factors outside the property (e.g., a nearby airport causing noise).

Curable depreciation: An item where the cost to cure is less than or equal to the anticipated increase in value after it is cured.

Incurable depreciation: Items that are not practical or economically feasible to correct.

Note: The cost approach assumes the land is vacant and bases the opinion of value on highest and best use.

4. Income Analysis Approach to Property Valuation and Appropriate Uses

The income approach bases current property value on the potential income the property can generate. It is the most reliable approach when the property is primarily used to generate rental income (shopping centers, apartment buildings, office buildings, single-family rentals, 2-4 unit residential buildings).

Three Methods Within the Income Approach

Gross Rent Multiplier (GRM)

Used for properties with four or fewer units.

- $GRM = \text{Sales Price} \div \text{Gross Monthly Rent}$
- $\text{Value} = \text{Gross Monthly Rent} \times GRM$

Gross Income Multiplier (GIM)

Used for properties with five or more units (considered "commercial" property).

- $GIM = \text{Sales Price} \div \text{Gross Annual Income}$
- $\text{Value} = \text{Gross Annual Income} \times GIM$

Capitalization Rate (Cap Rate)

An annual rate of return from an income-producing property. Used by appraisers to estimate value, and by investors to compare investments. Capitalization is always based on net annual operating income (NOI).

- Cap Rate formula: $I \div V = R$ (Income $\div$ Value = Rate)
- To find Value: $I \div R = V$ (Income $\div$ Rate = Value)
- To find Income: $R \times V = I$ (Rate $\times$ Value = Income)

Determining Net Operating Income (NOI)

- Start with Potential Gross Income (PGI): total rent if all units were rented for a full year.
- Subtract vacancy and collection loss to get Effective Gross Income (EGI).
- Subtract operating expenses from EGI to arrive at Net Operating Income (NOI).

Note: Investment value can tell an investor the expected rate of return for a property.

C. Comparative Market Analysis (CMA)

1. Competitive/Comparative Market Analysis (CMA), BPO, or Equivalent

What Is a CMA?

Real estate licensees perform comparative market analyses (CMAs) to help clients make price decisions - helping sellers decide how to price their property and buyers decide how much they're willing to pay. A CMA is NOT an appraisal; it is an informal estimate of market value.

What Is a BPO (Broker Price Opinion)?

A Broker Price Opinion (BPO) is a written estimate of the probable selling price of a property, prepared by a licensed real estate licensee. Like a CMA, it is not a formal appraisal.

- BPOs are most commonly requested by banks, lenders, or servicers - often in connection with loan modifications, short sales, foreclosures, or asset management decisions.
- BPOs are typically less detailed and less expensive than a formal appraisal.
- There are two types:
 - Drive-by (exterior) BPO: The licensee inspects only the exterior of the property.
 - Interior BPO: The licensee inspects both the interior and exterior of the property.
- Some states regulate or restrict BPOs; licensees should know their state's rules.
- A BPO must never be represented as an appraisal.

Selecting Comparables for a CMA

- A comparable (comp) is a property quite similar to the subject in terms of size, style, condition, number of rooms, and location.
- Use arm's-length transactions (unrelated parties, no duress). Non-arm's-length example: parents selling to their child.
- Avoid distressed sales (foreclosures, short sales) as comps, unless pricing a property under similar conditions.

- Recent sales (within the last 3-6 months) carry more weight than older sales.
- Also review active listings (current competition), expired listings (how pricing impacted results), and pending sales (days on market trends) - though pending sales are not true comps because the final price is unknown.
- Use at least three comparables; more may be needed if good comps are scarce.
- Account for seller concessions or special financing in comparable analysis.

Adjusting Comparables

Licenseses adjust the comparable's sales price (not the subject's list price) to account for differences.

- If the comparable is inferior to the subject adjust the comp's price upward.
- If the comparable is superior to the subject adjust the comp's price downward.
- Adjustments may be made for location, property attributes, and market conditions.

Example: Subject and comp are nearly identical, except the comp has a 3-car garage and the subject has a 2-car garage (worth ~\$7,000). Comp sold for \$328,500. Subtract \$7,000 subject value = \$321,500.

Example: Subject has a 3-car garage and pool; comp has a 2-car garage and no pool. Pool = \$22,000, extra bay = \$6,000. Comp sold for \$422,000. Subject is superior, so add \$28,000 subject value = \$450,000.

2. Automated Valuation Method (AVM), Appraisal Valuation, and Comparative Market Analysis (CMA)

What Is an AVM?

An Automated Valuation Model (AVM) is a computer-generated estimate of a property's value. AVMs use mathematical modeling combined with a database of information - including recent sales data, property characteristics, tax assessments, and price trends - to produce a value estimate quickly and at low cost.

- Common examples include publicly available tools such as Zillow's "Zestimate" and similar online estimators used by lenders and servicers.
- AVMs do not involve a physical inspection of the property.
- AVMs are not appraisals and do not meet USPAP standards.
- Accuracy varies; AVMs perform best in areas with many recent, similar sales and worst in rural, unique, or low-turnover markets.
- Lenders may use AVMs for certain lower-risk transactions or portfolio monitoring but typically require a formal appraisal for purchase money loans.

Comparing AVM, Appraisal, and CMA

Feature	AVM	Formal Appraisal	CMA / BPO
Performed by	Computer algorithm	Licensed/certified appraiser	Real estate licensee
Physical inspection	None	Yes	Yes (usually)
Follows USPAP	No	Yes	No
Cost	Low / free	Higher	Low / included in service
Speed	Instant	Days to weeks	Hours to days
Primary use	Quick estimates, lender portfolio review	Federally related transactions, mortgage loans	Helping clients price or make offers
Legally an appraisal?	No	Yes	No

A CMA and BPO are informal estimates used by licenseses; an AVM is computer-generated; only a formal appraisal by a licensed or certified appraiser meets USPAP and federally related transaction requirements.